

The Role of Artificial Intelligence in Enhancing ERP Decision-Making

Prepared for

Dr. Aryati Bakri

Senior Lecturer, Faculty of Computing, University Technology Malaysia

By

Muhammad Afiq Danial Bin Rozaidie¹ and Iman Abadi Bin Mohd Nizwan²

Students, Faculty of Computing, University Technology Malaysia

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I. Executive Summary

This paper explores the role of Artificial Intelligence (AI) in enhancing decision-making within Enterprise Resource Planning (ERP) systems. The study aims to identify how AI-driven tools such as predictive analytics and machine learning can optimize data accuracy and operational efficiency. A review of current ERP applications integrating AI technologies was conducted to evaluate their effects on organizational decision-making processes. Findings suggest that AI integration significantly improves forecasting accuracy, reduces manual workloads, and enhances real-time decision support. The paper concludes that enabling AI within ERP systems represents a critical advancement for organizations seeking intelligent, adaptive, and data-driven management solutions.

II. Introduction

Enterprise Resource Planning (ERP) is referred to as a type of software that is used by organizations to manage day-to-day business activities such as accounting, procurement, project management, risk management and compliance, and supply chain operations (Oracle, 2023). It is stated in other studies that ERP systems are comprehensive, integrated software platforms that are utilized by organizations for the streamlining and automation of vital business processes across various departments and functions. These systems are designed to serve as centralized repositories for data and procedures, encompassing finance, human resources, production, supply chain, services, procurement, and external stakeholder interactions. The exchange of information between all internal business functions is effectively facilitated, and the external interactions of the organization are managed through these systems (Mhaskey, 2024).

While the meaning of Artificial Intelligence (AI) is composed of two words, “artificial” and “intelligence,” where “artificial” means “man-made” and “intelligence” means “thinking power,” AI is therefore defined as “a man-made thinking power.” Du-Harpur et al. (2020) state that in this modern parlance, artificial general intelligence refers to the ability of a machine to communicate, reason, and operate independently in both familiar and novel scenarios in a similar manner to a human.

There are some limitations in using traditional ERP systems themselves, such as reliance on manual inputs and being very time-consuming due to heavy employee involvement. This can lower organizational performance and make the system unable to perform tasks independently. As a result, decision-making processes may become slower and more error-prone. These issues highlight the need to integrate AI to enhance efficiency, accuracy, and overall decision-making within ERP systems.

The objective of this paper is to investigate how artificial intelligence technologies are integrated into current ERP systems to support organizational data-driven decision-making in order to improve their speed, efficiency, accuracy, and quality. The scope of this study

includes AI applications within ERP systems that are used in business organizations and processes such as forecasting, resource allocation, and performance analysis.

III. Background/Literature Review

Traditional ERPs are used by organizations to streamline and automate critical business processes across various departments and functions. However, ERP systems are still limited because of their rigid architectures, complex implementation requirements, and limited analytical capabilities (Pokala, 2024). Furthermore, ERP systems also often struggled with real-time data processing, cross-functional integration, and adaptive response to changing business needs. Incorporating AI with existing ERP systems provides opportunities for a major breakthrough in improving corporate performance, operations, and decision-making skills. Technologies such as Advanced OCR (Optical Character Recognition) and NLP (Natural Language Processing) technologies have revolutionized document processing automation by allowing high-accuracy, automated extraction, classification, and routing of documents while minimizing manual interaction.

Another study done by Dachevall (2025) shows how AI has been integrated into ERP systems, emphasizing the use of sophisticated data visualization methods and algorithmic decision support algorithms to enhance strategic decision-making through the use of ML and BI tools. The model integrated into the ERP system boasts an accuracy of 90% at forecasting crucial business factors, like sales patterns and inventory requirements. This demonstrates how effectively AI-integrated ERPs can take advantage of past data in identifying hidden patterns to provide operational insights to assist data-driven strategic planning and minimize inventory risks.

A paper by Muntala and Jangam (2021) discusses real-time decision-making in ERP systems using streaming data and AI. This study highlights the limitation of current and legacy ERP systems, which tend to be passive with limitations to respond in real-time, as data-driven decisions have become more competitive in enterprise environments. Organizations operate on fluctuating markets with rapid decreases in time available to make decisions. The proposed solution uses tools such as Apache Kafka that transport data from various sources such as IoT sensors and external APIs with low latency. The data is then provided to the ML layer for real-time predictive and prescriptive decisions. Although implementing this solution can improve the operational efficiency of enterprises, the paper highlights limitations that need to be considered before implementing and scaling the system. Key mentioned challenges and limitations include the quality of data, the drift of the AI model and the complexity of integration.

IV. AI Technologies Used in ERP Systems

A. Machine Learning (ML)

ML are algorithms that are heavily influenced by data. An ML algorithm's performance is determined by the quality and volume of data it was trained on. The use of

AI is ideal with an ERP system because of its high amounts of data, such as transactional data, that are difficult to be analyzed. ML can forecast, recognize strange patterns, and improve processes with reinforcement learning by finding patterns in these data sets. A study by Syed (2025) demonstrates the use of ML for cybersecurity in ERP ecosystems. Machine learning aids in data breach security investigations by utilizing existing data to automatically protect clients in the event of a breach. Machine learning algorithms can scan unstructured data to find patterns and signals that may indicate security vulnerabilities before they become big risks that cannot be prevented by traditional cybersecurity techniques. This is based on the fact that machine learning technology, lacking the need for pre-existing detection criteria, is especially designed to prevent the earliest forms of new malware or breaching methods.

B. Natural Language Processing (NLP)

NLP or text mining, has emerged as a solution in extracting meaningful information from unstructured data and is the foundation of Text Analytics. Text analytics utilizes complex algorithms and linguistic models to analyze and interpret human language. These algorithms enable computers to analyze large amounts of text, recognize essential words, phrases, and concepts, and extract useful information. An article by Khan (2023) provides a sample use case of text analytics in an ERP system, which is using text analytics to enhance customer experience. Through NLP, customer feedback and reviews can be analyzed to provide insights for organizations into customer preferences, pain points, and satisfaction levels. This enables them to personalize product recommendations, optimize pricing, and enhance the consumer experience.

V. Advantages and Disadvantages of AI in ERP Systems

The integration of AI into the ERP system has introduced the new era of intelligent business management. Although traditional ERP systems solely focus on integrating business processes and data management, the introduction of AI is capable of enhancing their analytical, efficiency, predictive and automation functions. These two powerful technologies can provide businesses with significant benefits (Bawa S.S., 2023). However, despite the numerous benefits, there are certain disadvantages and drawbacks that also follow in this integration.

A. Advantages

1. Improved Decision Making

The integration of AI within ERP systems allows the organizations to analyze large datasets quickly and accurately. AI algorithms can uncover hidden patterns, generate insights, and offer data-driven recommendations that can support strategic and operational decision-making.

2. Predictive Analytics and Forecasting

AI technologies can provide services like chatbots, sentiment analysis, and personalized recommendation engines that can be included in ERP systems to improve on customer engagement. By analyzing customer data, the systems can offer personalized interaction and solutions that will improve customer satisfaction more.

B. Disadvantages

1. High Implementation and Maintenance Costs

Integrating AI into ERP systems often involves high investment, including software, hardware, and skilled workers. Some small and medium-sized enterprises (SMEs) may find these costs to be burdensome, especially when considering the long-term maintenance of upgrading the equipment.

2. Complexity of Integration

The process of integrating AI into existing and traditional ERP infrastructures can be considered challenging, since it may require system customization, additional modules, and significant adjustments to ensure compatibility. This can lead to extended implementation timelines.

VI. Challenges and Future Trends

While integrating AI into ERP systems can provide numerous benefits towards the business, organizations sometimes can encounter several challenges during the implementation process to integrate. These challenges arise because of the complexity of combining AI technologies with the existing traditional ERP infrastructures and business processes.

A. Lack of Skilled Professionals

In order to have a successful implementation of AI enhancement in ERP systems, it requires personnel with high expertise in both AI technologies and ERP systems management. However, there is currently a shortage of professionals who are skilled in both fields combined. Organizations must invest in intense training or hire specialized consultants, which can lead to increasing the cost of the project and also delay implementation.

B. Change Management

The introduction of AI into ERP systems often requires a shift in company culture and employee skill sets. Organizations must invest in training employees to work alongside AI technologies and address any concerns regarding job displacement. Resistance to change can be a significant barrier to successful AI adoption (Omisakin, A., & Ogunrinde, V., 2025).

The future of ERP and AI seems promising, with several new advancements and improvements on to come. According to Bawa (2023), the application of AI in ERP systems will continue to grow. As AI technology advances, it is expected to see further integration of AI into ERP systems. This might include improved predictive analytics, natural language processing, and machine learning techniques. Another example is the use of cloud-based ERP. Cloud-based ERP solutions are becoming increasingly popular, and greater use is expected in the future. This might include more advanced cloud-based AI systems, which provide more scalability and flexibility.

VII. Recommendations

In order to effectively implement AI within ERP systems, all organizations need to adopt a strategic and well-structured approach. First thing first, companies should develop a clear integration plan that aligns AI technologies with current business objectives, like improving analysis and forecasting accuracy or automating document processing. Strong data governance is crucial to ensure data accuracy, consistency, and security, due to AI models that rely heavily on high-quality input data.

Organizations should also upgrade their technical infrastructure to support real-time analytics through tools such as Apache Kafka for efficient data streaming. Conducting employee and cross-department collaboration are equally important to address the shortage of AI and ERP expertise. Starting with small-scale pilot projects allows companies to evaluate system performance and refine models before full deployment.

Furthermore, ethical and privacy considerations must be prioritized by ensuring compliance with data protection regulations and maintaining transparency in AI-driven decisions. By monitoring and consistently retraining the AI models, it is also necessary to prevent the performance from dropping over time. By following these strategies, organizations can maximize the benefits of AI-enhanced ERP systems while reducing implementation risks and ensuring sustainable business growth.

VIII. Conclusion

In conclusion, integrating AI into ERP systems is a significant step toward more effective data-driven corporate management. Traditional ERP systems automate essential operations, but they frequently lack analytical insight and flexibility. The integration of AI technologies like ML and NLP improves predictive analytics, automation, and real-time insights, allowing for faster and more accurate decision-making. However, AI integration presents multiple challenges, including high implementation costs, technological complexity, and a lack of experienced individuals. To achieve success, organizations must invest in effective data governance, personnel training, and strategic alignment of AI programs with their business objectives. Looking ahead, the future of AI-enhanced ERP is cloud-based solutions and ethical AI use.

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